

TASK 5 DIGITAL LITERACY

Case Study: The Credit Score Collapse

The Crime: Virtual Identity Theft

Virtual identity theft is the fraudulent acquisition and use of a person's private identifying data, usually for financial gain. Criminals seek critical data points like full names, dates of birth, social security numbers (SSNs), and banking details. With this information, they can impersonate the victim to commit various frauds, such as opening new credit lines or filing fraudulent tax returns.

How It Happens (Step-by-Step):

1. **The Breached Repository:** The attack begins with data acquisition. The thief uses a password-cracking algorithm to gain access to a third-party server, such as a university medical system or a regional retail chain's database.
2. **The Harvest:** Once inside, the criminal steals a database containing personal records, including the SSNs of thousands of current and former patients.
3. **The Exploit:** Rather than using the data themselves, the hacker lists the data for sale on a dark web marketplace. Another criminal purchases the specific data of a victim, "Arjun."
4. **The Impersonation:** The buyer uses Arjun's name, birthdate, and SSN to open multiple new credit card accounts. They set the mailing address to a P.O. Box under their control.
5. **The Financial Ruin:** The criminal runs up maximum debt on the new cards. Arjun only discovers the crime when his actual credit card is declined, and he finds his credit score has dropped from 790 to 450.

Who Is Targeted?

While data breaches affect all ages, scammers often target profiles appearing financially stable but perhaps less digitally savvy, such as senior citizens, who may not be monitoring their credit reports frequently.

The Consequences:

The impact of identity theft is often severe and long-lasting.

- **Financial & Legal Burden:** Victims often spend months, or even years, disputing thousands of dollars in fraudulent charges and

contacting numerous financial institutions to clear their name. This can block them from getting loans for cars or homes.

- **Psychological Distress:** The violation results in significant emotional trauma, shame, and anxiety as victims realize that a core part of their digital presence is compromised. Recovery of a stolen identity often involves a legal process that requires victims to "prove their innocence."
- **Credit/Regulatory Lockout:** Until the identity is restored, the victim's legitimate credit history is effectively frozen, locked out of modern digital financial systems.